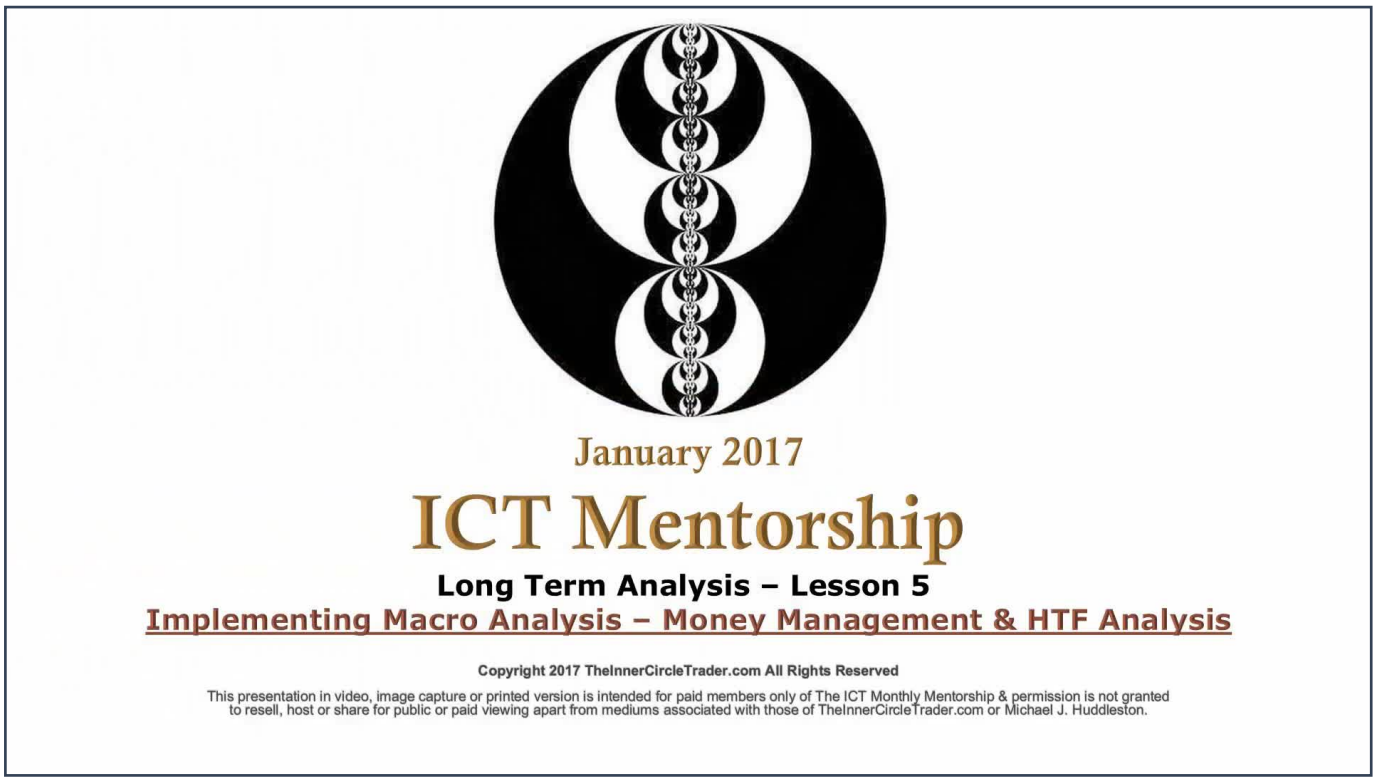
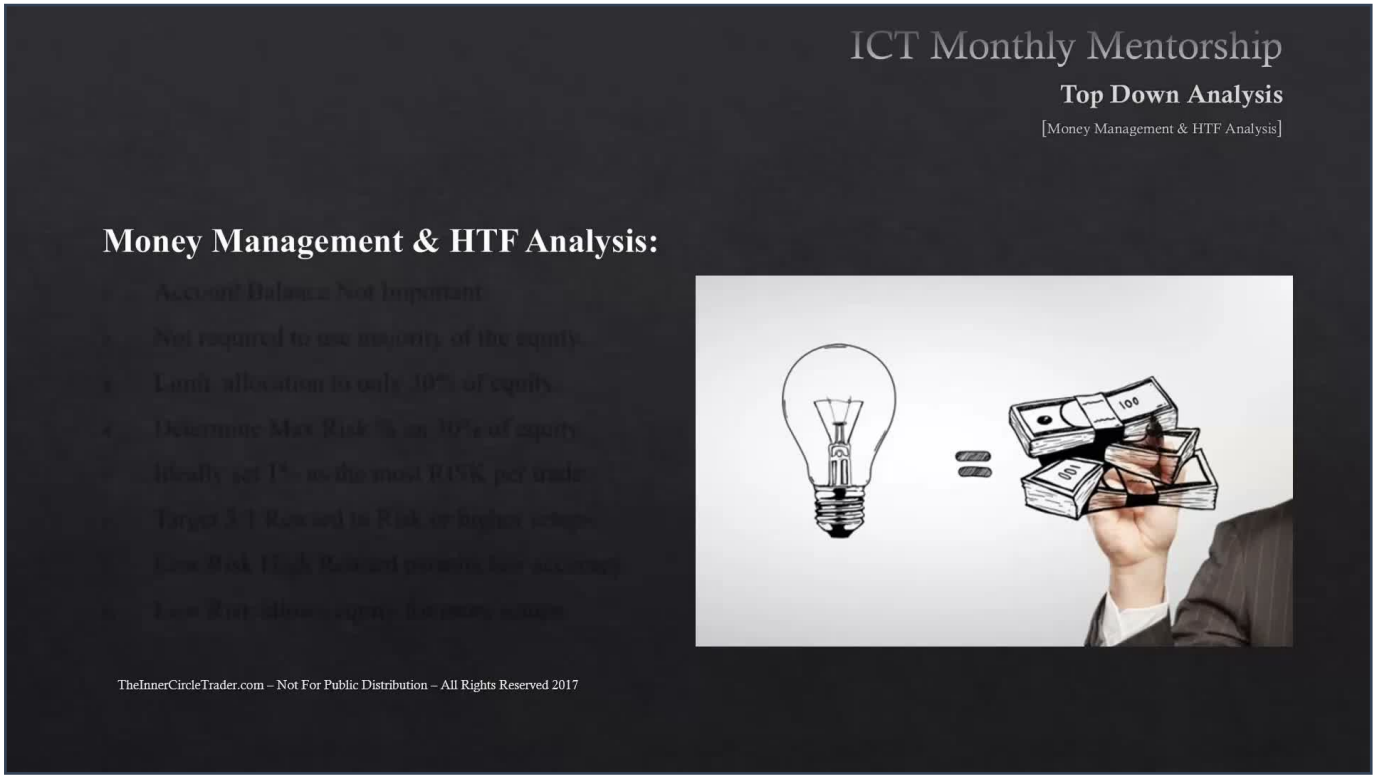
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - MONEY MANAGEMENT



This lesson, part of the January 2017 ICT Mentorship, will discuss money management and higher time frame analysis. The focus is on a broad perspective of long-term analysis, specifically medium to long-term trading or position trading. While this might not be every trader's preference, it is advised to gain experience in this time frame for at least a year. This approach is particularly relevant for those contemplating managing funds (other people's money) or working for prop firms, even without a large initial equity base. The core idea is to grow understanding and experience over time, transitioning from demo account practice to live trading with real funds.



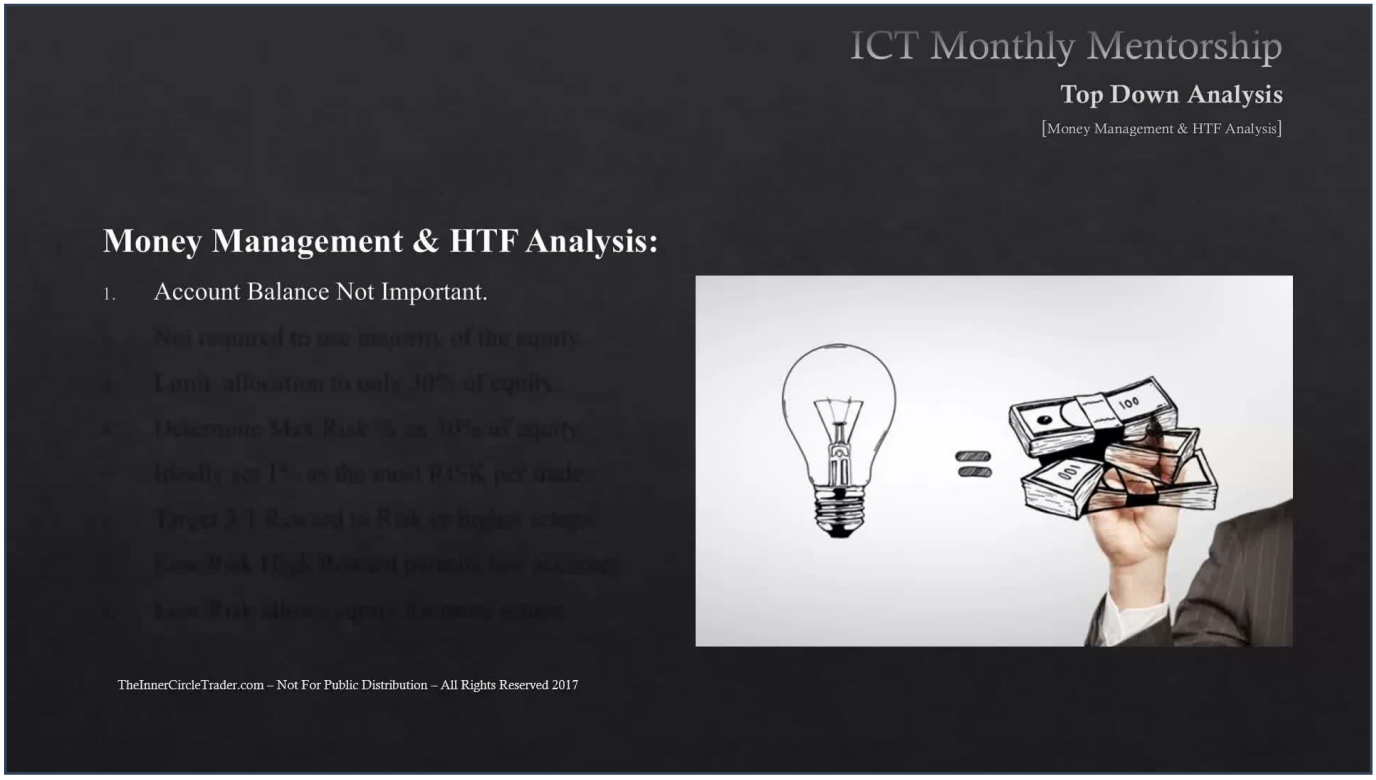
It is not important to have a large equity base initially. What is crucial is growing your understanding and gaining experience in the marketplace over a long period. This means successfully applying practices from demo accounts to live settings with positive results. The focus should be on controlling drawdown, keeping it manageable and tolerable.

- A tolerable annual drawdown is around 15 percent. While 20 percent is probably acceptable, 15 percent is absolutely amazing.

- Maintaining a positive annual return is key, even with some drawdown.

- For those considering managed funds, displaying a consistent and improving equity curve with minimal drawdown attracts investors.

- Investors are attracted to steady, albeit not necessarily high, rates of return over a calendar year. There is significant capital available for skilled money managers.



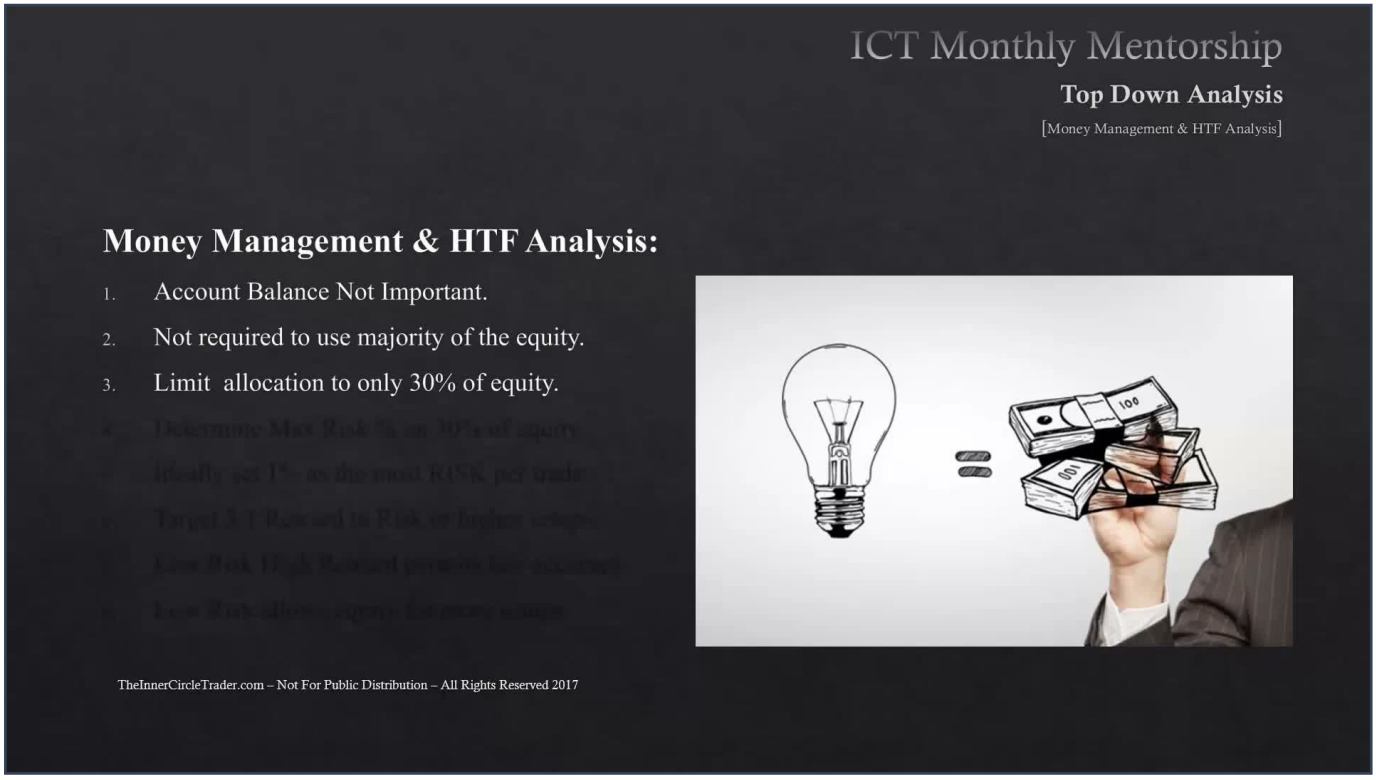
It is not necessary to utilize the entire equity base. A conservative approach limits the allocation to only 30 percent of total equity.

- Example: For a 100,000 dollar trading account, only 30,000 dollars would be used for margin requirements and trade parameters.

- Risk Calculation: If the industry standard of 2 percent risk per trade is applied, it would be 2 percent of 30,000 dollars, not 2 percent of 100,000 dollars.

- Benefits: This strategy prevents margin calls, avoids over-leveraging, and minimizes wild dips in equity, while still allowing for a strong equity curve.

- Investors appreciate this conservative approach, seeing that the trader is not 100 percent exposed and maintains a substantial cash reserve in the account. This reserve ensures flexibility for new opportunities without being spread too thin.

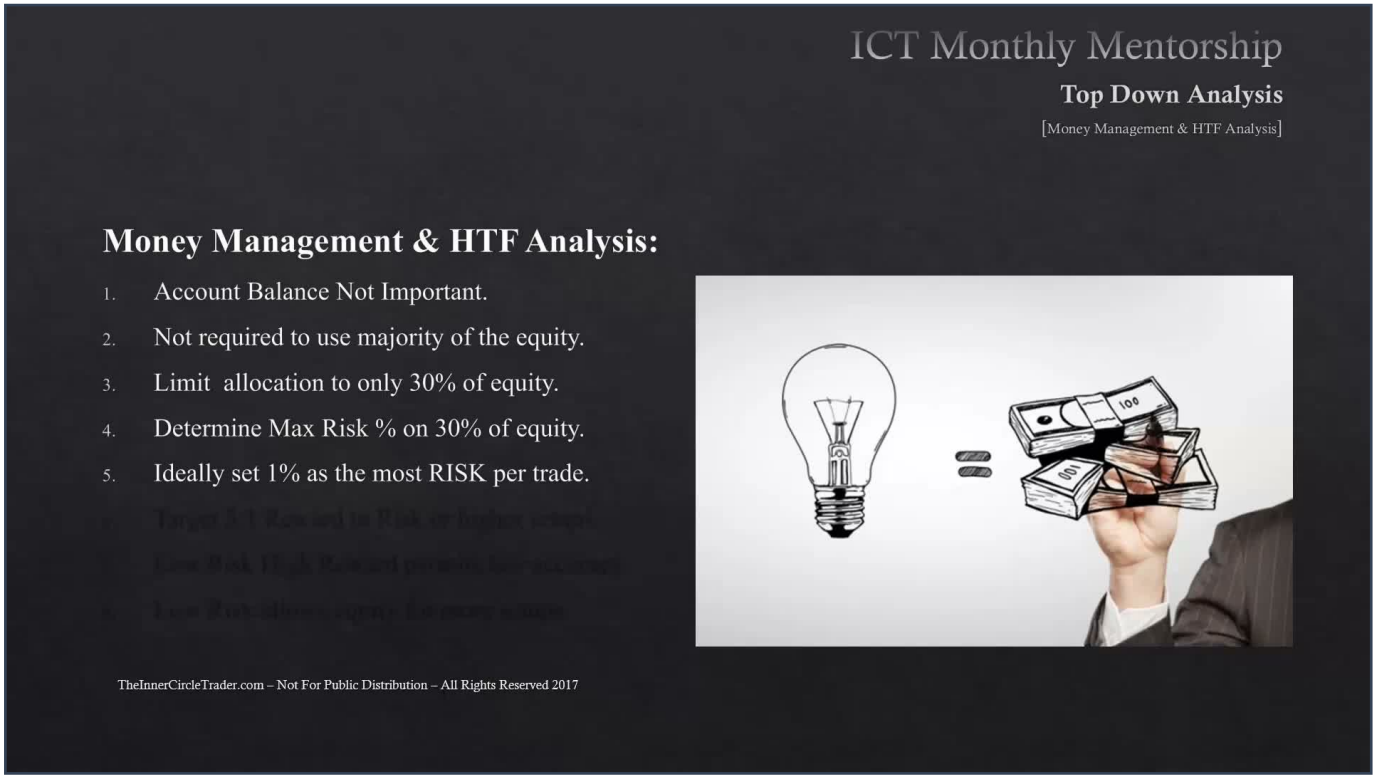


The strategy ensures constant availability of capital for seizing new trade opportunities that arise, even if they were not initially on the radar. The goal is to define maximum risk exposure as a percentage of 30 percent of your total equity. This significantly reduces overall risk, not aiming for maximum return but for low-risk exposure with the expectation of consistently respectable returns over a calendar year.

- Recommended Risk: Ideally, risk no more than one percent per trade. This one percent is calculated on 30 percent of the total equity base.

- Example: For a 10,000 dollar account, 30 percent is 3,000 dollars. One percent of 3,000 dollars is 30 dollars. Therefore, 30 dollars is the total maximum risk per trade.

- This approach is not designed for 'get rich quick' but rather for steady, consistent growth and to broaden perspectives on the potential for managing other people's money.



Managing other people's money (OPM) can be stressful but offers a pathway to quickly accumulate capital to seed personal trading accounts. Once a personal account is substantial, one can transition to independent speculation, even adopting higher risk if desired, and eventually cease OPM management.

- Target Reward to Risk: Focus on setups with a 3:1 reward to risk ratio or higher, which are available on higher time frame charts.

- Benefits of Low Risk, High Reward:

- Permits very low accuracy. You do not need to be accurate all the time.

- Requires patience in this time frame.

- Allows for more trade setups by not having all your money in one trade.

Focus on achieving a hands-on annual percent return. A respectable annual return for managed funds is 18 to 25 percent. Consistently achieving this will attract significant investor capital. This mentorship will eventually cover strategies for acquiring and managing OPM.

- Long-Term Trading Recommendation: For the remainder of this mentorship, focus on contemplating and executing long-term trades using higher time frame analysis. Allow these trades to fully develop rather than attempting quick scalps.

- Trade Frequency: Higher time frame setups, by nature, occur very infrequently annually, resulting in only a few trades throughout the year.

When trading higher time frames, it is necessary to mentally prepare for short-term drawdowns in open profits. Long-term trades will inevitably experience retracements, where the market temporarily gives back some unrealized profits over days or weeks before a trade is closed. This 'give and take' can be emotionally challenging, especially when dealing with large sums of money.

- Reason for 30 percent Allocation: Limiting long-term trade allocation to 30 percent of equity provides sufficient capital and margin for managing short-term trades.

- Counteracting Drawdown (Non-Hedging): In regions like the U.S. where direct hedging is restricted, inversely correlated markets can be traded. For example, if a long-term short position on Dollar Yen is experiencing a retracement, one can open a short-term trade in an inversely correlated pair (e.g., short Euro Dollar or British Pound Dollar) to capitalize on the opposing move. This strategy helps offset the open profit drawdown in the long-term position, allowing for continuous money-making and covering those drawdown periods.

When a long-term short position, for example in Dollar Yen, experiences an anticipated retracement, open profits will diminish. To counteract this without direct hedging (as restricted in North America), one can:

- Utilize Inversely Correlated Pairs: Trade an inversely related pair, such as the Euro Dollar. If Dollar Yen is retracing higher against a short position, one could go short on the Euro Dollar or British Pound Dollar.

- Capitalize on Short-Term Moves: This strategy allows for generating profits in the short-term while the long-term position is in a drawdown, effectively 'hedging' the P&L fluctuations. This requires understanding simple inter-market analysis.

It is essential to continuously make more money and cover drawdown periods on open profits.

- Stop Loss in Long-Term Trading: Stop-loss orders are not a measure of trading ability, contrary to popular belief that tight stops (e.g., 10-pip) signify elite status. This mindset does not apply to long-term trading.

- Intraday vs. Long-Term Stop Loss:

- For intraday trading, a maximum of 35 pips (or 30 pips as a general rule of thumb) is considered safe, approximately one-third of a 100-pip Average Daily Range (ADR).

- For long-term trades, especially when keying off the daily time frame with monthly and weekly charts, 30-35 pips is insufficient.

- Proportionate Stops: Stop losses must be proportionate to the time frame being traded.

When a trade setup on a daily time frame requires a 200-pip stop loss, it can be intimidating for those accustomed to lower time frames. However, if the aim is for a 600-pip win, this still represents a 3:1 reward to risk ratio, which is favorable for long-term trading, even with a low win rate objective. Higher reward to risk ratios should be sought on these charts.

- Resist Early Risk Reduction: In long-term position trading, resist the impulse to move the stop loss to breakeven or reduce risk prematurely.

- Patience is Paramount: Position trading demands significant patience, which is developed over time. If patience is lacking, position trading may not be suitable.

- Intraday vs. Long-Term Stop Adjustment: While lower time frames allow for quicker stop adjustments to breakeven or locking in profit, higher time frames require waiting for a significant price movement before considering stop loss adjustments from the initial entry point.

Long-term traders must learn to exit at logical targets and seek re-entry opportunities later. Instead of enduring full drawdowns, positions or partial positions can be taken off at logical resistance areas within a long-term trend.

- Partial Profit-Taking and Re-entry: For a bullish long-term trade (e.g., Dollar Yen), upon reaching a high-probability resistance or retracement level, a portion of the position (e.g., half, three-quarters, a third, or a quarter) can be closed to realize profits. Once the market retraces to a logical re-entry level, the position can be added back, potentially increasing the position size for the next leg higher. This strategy allows for capitalizing on market movements more effectively than simply holding the initial position without adjustment.

Long-term trading is about 'getting rich steady,' not 'get rich quick.' Higher time frame trading lacks the 'velocity' of day trading, where money is quickly put to work and profits are realized rapidly. While not offering quick compounding, long-term position trading can yield very handsome returns.

- Align with Your Psyche: It is crucial that long-term trading aligns with your 'inner trader' and thinking process. If it's at odds, impatience will lead to forced trades and hinder effective money management.

- Mentorship Application: All mentees should endeavor to apply long-term position trading to some degree for the remaining portion of the mentorship. This will demonstrate that significant skill in entry technique isn't always necessary for profitability. The entry techniques taught are relatively simplistic.

Before delving into specific trade entry, stop loss orders, and risk sizing, it's crucial to establish a broad understanding of money management principles. This teaching emphasizes the necessary mindset for long-term position trading:

- You are managing money, but it will not involve a high volume of trades or rapid account compounding.

- Higher time frames demand patience and a submission to time. This process enhances overall analysis, as higher time frame movements dictate lower time frame price action.

- For managed fund traders (OPM), consistency in returns (20-25 percent annually) on a handful of trades makes this a very lucrative career.

EXPECTED FREQUENCY OF HIGHER TIME FRAME TRADES

TIMESTAMP: 00:24:07

Higher time frames offer infrequent trade setups. Expect to find only two, or possibly three, high-quality position trade setups per year.

- Annual Trade Expectation: Over a calendar year, anticipate discovering about two very simple, easy-to-find long-term trade setups. A third setup is possible if market conditions are exceptionally favorable and symmetrical. Four setups are rare.

- Milking Positions: The focus is on 'milking' these positions for maximum value.

- Addressing Misconception: If risking one percent for a 3:1 reward, two successful trades might initially seem to yield only a six percent return. However, this calculation is simplistic.

When a trade moves into profitability, the new equity can be reinvested. Missing the absolute lowest buy point for a long-term position doesn't preclude entering the trend with a long-term mindset to still achieve substantial returns. This will be covered in execution and trade management.

- Primary Goal: The objective is not to maximize earnings, but to manage drawdown effectively, keeping it low, while still generating a respectable rate of return over a full calendar year.

- Mentorship Homework: For the remainder of the mentorship, aim to execute and hold at least one long-term trade for a minimum of three months. This experience is critical for understanding the requirements for consistent annual profitability.

With improved trading skills and understanding, risking two percent of 30 percent of total equity per trade allows for maximizing returns through short-term or swing trading during drawdown periods. This can very easily achieve the 18-20 percent annual return.

- Freedom and Leverage: This strategy frees personal time as it doesn't require daily market presence. Large fund managers often operate this way, leveraging OPM.

- Minimizing Risk Exposure: The core principle is to minimize risk exposure to clients. Frequent trading of OPM increases their risk, which can lead to emotional and financial distress for both manager and client during extended drawdowns.

Exposing clients to risk too frequently can lead to significant emotional, psychological, and monetary stress, especially during prolonged drawdowns.

- Key to Success: Maintain low trade frequency, focus on very high-odds potential setups, keep risk light, and consistently achieve an 18-20 percent annual return. This approach attracts new capital from investors.

- Financial Structure for Fund Managers: As a fund manager, you benefit from a management fee (e.g., two percent of assets under management) regardless of performance, and a performance bonus based on the returns generated.

- Pooled Accounts: Managing pooled accounts (multiple clients contributing funds) significantly grows the equity base, amplifying the impact of management fees and performance bonuses. For example, a 25 percent return on 10 million dollars, plus a two percent management fee, yields substantial income.

The goal for a fund manager is not to push limits for higher performance incentives, but to adopt a 'steady eddy' approach, aiming for easily achievable 'low hanging fruit' returns. This strategy fosters client loyalty and positive word-of-mouth, leading to continuous growth in managed funds and, by extension, personal income.

- Drawdown and Consistency: Significant drawdown results from excessive trading activity. To avoid a 'long drawn out strikeout period' with OPM, maintain consistency through infrequent risk exposure while still delivering handsome annual returns.

- Client Trust and Capital Influx: Clients will initially test managers with small amounts. Demonstrating consistent, sober, and non-aggressive returns builds trust, leading to substantial new capital. This consistent growth in managed funds directly translates to increased income for the manager without altering the trading strategy.

New funds will continuously find their way to a fund manager through word-of-mouth. As managed capital grows, so does the manager's income, without requiring a change in trading strategy. The goal isn't to impress with aggressive returns but to consistently deliver the established rate of return. Clients will be satisfied with respectable returns (e.g., 16 percent on 10 million dollars) and minimal drawdown, as such returns are uncommon in other markets (CDs, equities, money markets).

- Work Smart, Not Hard: Effective money management involves working smart, not hard. This means minimizing trading activity and only exposing capital to risk when conditions are highly favorable.

- Future Learning: The execution and management stages of long-term trading will demonstrate how minimal effort can yield significant results on higher time frames.